June 2020

Category review: Chips

Retail Analytics

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Classification: Confidential

Our 17 year history assures best practice in privacy, security and the ethical use of data

Privacy

- We have built our business based on privacy by design principles for the past 17 years
- Quantium has strict protocols around the receipt and storage of personal information
- All information is de-identified using an irreversible tokenisation process with no ability to re-identify individuals.

Security

- We are ISO27001 certified - internationally recognised for our ability to uphold best practice standards across information security
- We use 'bank grade' security to store and process our data
- Comply with 200+ security requirements from NAB, Woolworths and other data partners
- All partner data is held in separate restricted environments
- All access to partner data is limited to essential staff only
- Security environment and processes regularly audited by our data partners.

Ethical use of data

Applies to all facets of our work, from the initiatives we take on, the information we use and how our solutions impact individuals, organisations and society.

We all have a responsibility to use data for good

Quantium believes in using data for progress, with great care and responsibility. As such please respect the commercial in confidence nature of this document.

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Executive summary

01

Overview of trends in chips purchasing as per the analysis of customer and purchasing data

- Top-earning segments by total sales are family and older-family Budget/Mainstream categories
- Older families and Young singles/couples deliver high total sales and strong sales-per-customer
- 175g packs are the most common size to be purchased followed by the 150g packs
- Premium customers do not show dramatically larger average consumptions

02

The impact of the new trial layouts have been tested with a trial and control stores to determine if the trial layout should be rolled out to all their stores.

- Sales uplift is more consistently driven by:
    - More purchasing customers, rather than
    - Customers buying significantly more per visit
- Store execution and local factors likely influence trial success.

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01

Category

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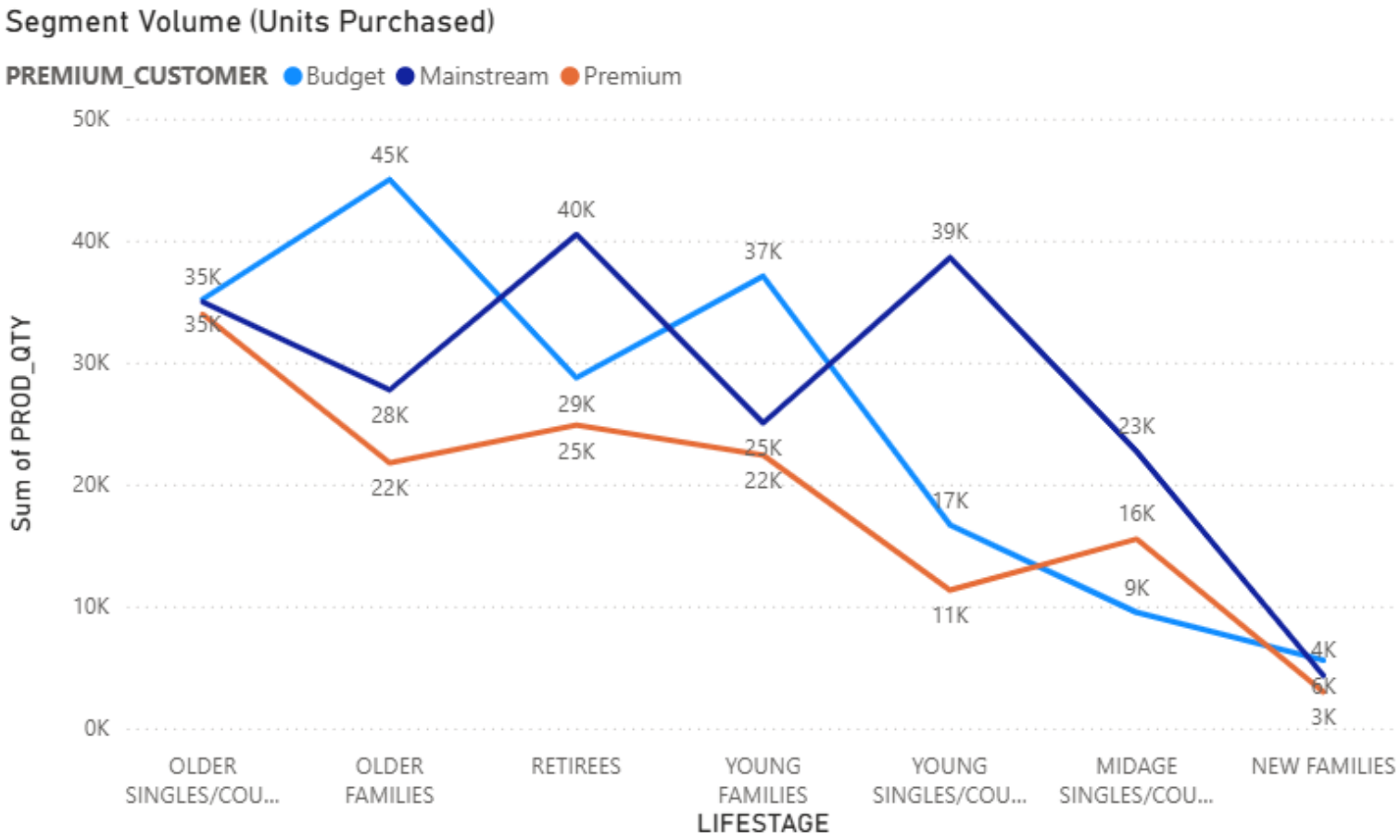
Overview: Top-earning segments by total sales are family and older-family Budget/Mainstream categories (in-total)



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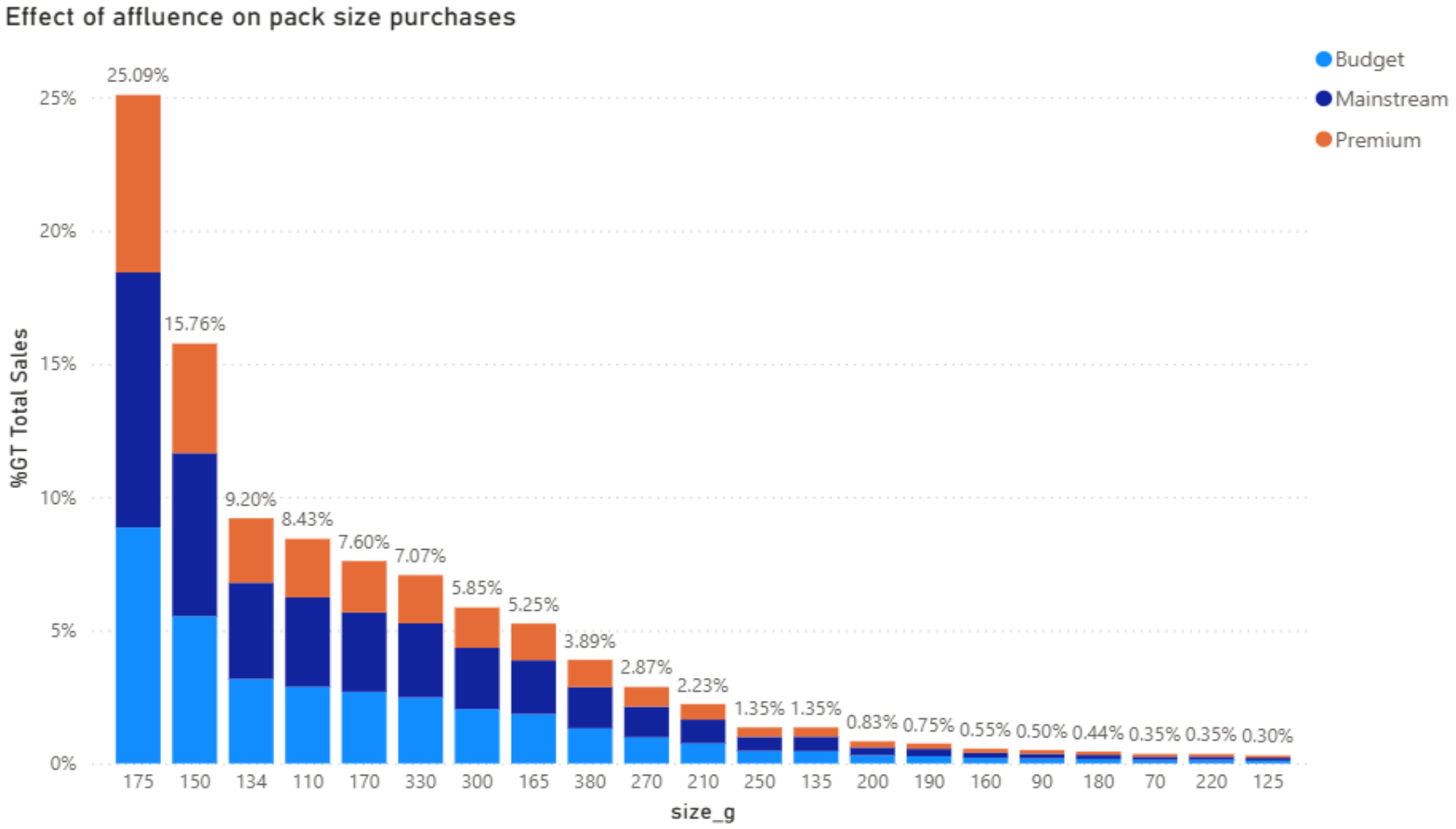
The effect of affluence on consumer buying for the category of chips and the different pack sizes



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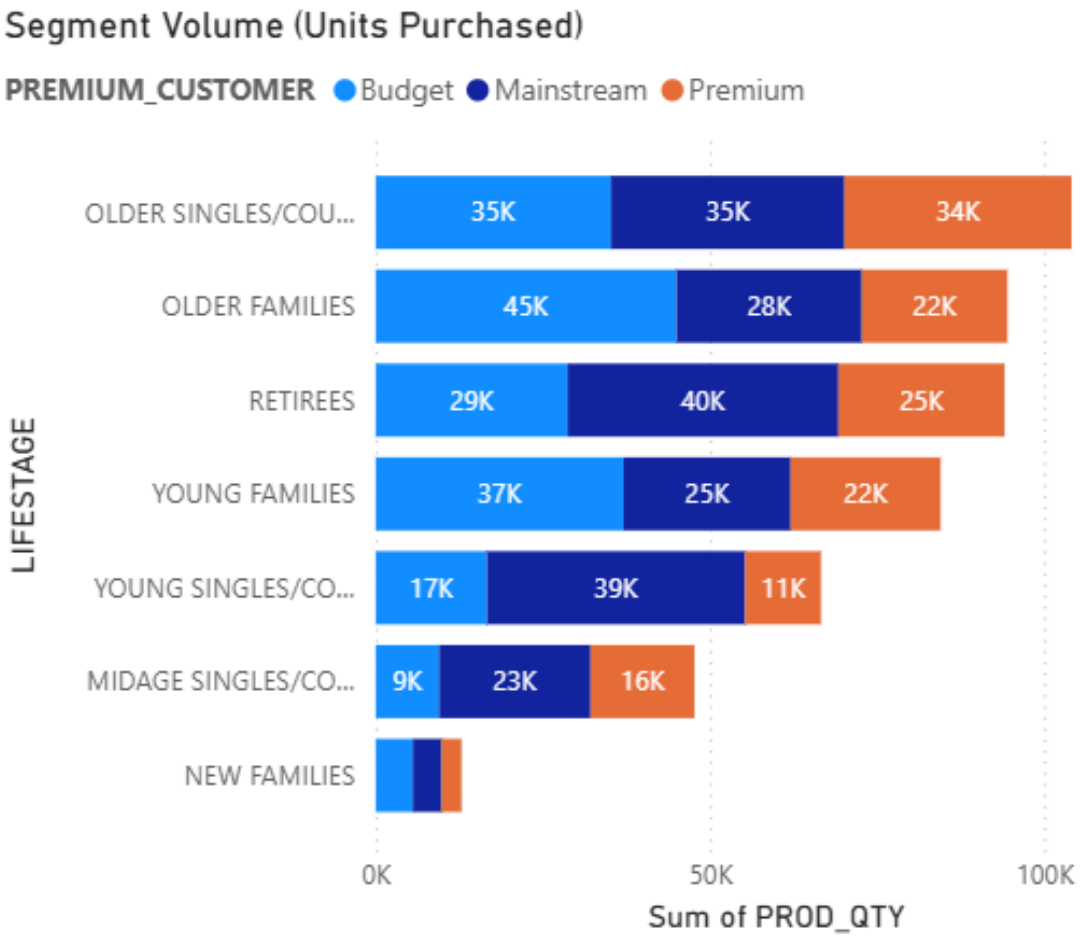
Purchasing trends according to the proportion of affluence and life stage



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02

Trial store performance

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Explanation of the control store vs other stores

A trial was conducted in Stores 77, 86, and 88 between February 2019 and April 2019.

To evaluate the effectiveness of the trial, each trial store was compared against a carefully selected control store that showed similar sales, customer, and transaction patterns before the trial period.

Control stores were selected using a similarity score based on:

- Total sales revenue
- Total number of customers (unique loyalty cards)
- Average transactions per customer

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Call out of the performance in the trial store, determining if it was successful

The store trial demonstrated that targeted in-store initiatives can meaningfully increase sales, primarily by attracting more customers.

However, effectiveness varies by store, highlighting the importance of selecting the right locations and using control stores to accurately measure impact.

Recommendations

1. **Roll out the trial strategy** to stores with profiles similar to:
    1. Store 77 and especially Store 86.
2. **Investigate Store 86 further** to identify best practices that can be replicated.
3. **Do not roll out the trial universally** without adjustment.
4. **Re-design or localise the trial** for stores similar to Store 88 before re-testing.
5. Continue using **control-store-based evaluation** for future trials to ensure robust measurement.

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